CHAPTER 10

ACCOUNTS FROM INCOMPLETE RECORDS

CHAPTER ESSENCE AT A GLANCE:
Determine periodic profit or loss and reconstruct final financial statements from incomplete, single-entry accounting systems using the Statement of Affairs capital comparison method.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Incomplete System Asymmetry:** Small sole traders maintain partial records (recording only cash book and personal accounts), completely omitting real and nominal impersonal accounts.

• **Statement of Affairs Capital Valuation:** A Statement of Affairs is prepared at opening and closing dates by listing available assets and liabilities to calculate owner net worth by balancing capital.

• **Capital Comparison Profit Model:** Operational net profit is determined by adjusting closing capital for owner drawings and additional fresh capital, comparing it against initial opening capital.

• **Total Debtors and Creditors Account Reconstruction:** Credit sales and credit purchases are deduced mathematically by reconstructing memorandum Total Debtors and Total Creditors accounts from cash receipts and payments.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Single-Entry Net Profit} = (\text{Closing Capital} + \text{Drawings}) - (\text{Fresh Capital Added} + \text{Opening Capital})$$

Statement of Affairs Profit Determination

$$\text{Opening Proprietor Capital} = \sum \text{Opening Assets} - \sum \text{Opening Third-Party Liabilities}$$

Initial Statement of Affairs Capital Equation

$$\text{Credit Sales Derived} = \text{Closing Debtors} + \text{Cash Collected} + \text{Discounts} - \text{Opening Debtors}$$

Total Debtors Memorandum Reconstruction

$$\text{Credit Purchases Derived} = \text{Closing Creditors} + \text{Cash Paid} + \text{Discounts} - \text{Opening Creditors}$$

Total Creditors Memorandum Reconstruction

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** A Statement of Affairs is prepared from incomplete estimations and records, whereas a Balance Sheet is prepared from scientifically balanced ledger accounts.

• **Alert:** Drawings must be added back to closing capital, and fresh additional capital introduced during the year must be subtracted before comparing with opening capital.

• **Alert:** Cash sales are not recorded in Total Debtors Account; only credit sales are deduced from the Total Debtors account balancing figure.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What are Incomplete Records? Mention two inherent defects of maintaining single-entry bookkeeping. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Any system of bookkeeping that fails to strictly apply the dual-aspect double-entry system for all transactions. **[1 Mark]**

• **Defects:** (1) A trial balance cannot be prepared to verify arithmetical accuracy, (2) Authentic operating profit or loss cannot be accurately determined from ledgers. **[1 Mark]**

2. Distinguish between a Balance Sheet and a Statement of Affairs across two key parameters. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Basis of Preparation:** Balance Sheet is prepared from scientifically maintained ledger balances in a double-entry trial balance; Statement of Affairs is prepared partly from incomplete records and physical estimates. **[1 Mark]**

• **Reliability:** Balance Sheet is legally recognized and highly reliable; Statement of Affairs provides only an approximation of financial status. **[1 Mark]**

3. State the steps involved in ascertaining profit or loss using the Statement of Affairs (Capital Comparison) method. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Step 1:** Prepare an Opening Statement of Affairs to compute Opening Capital as (Opening Assets minus Opening Liabilities). **[1 Mark]**

• **Step 2:** Prepare a Closing Statement of Affairs to compute Closing Capital as (Closing Assets minus Closing Liabilities). **[1 Mark]**

• **Step 3:** Calculate Profit = (Closing Capital + Drawings) - (Additional Capital + Opening Capital). Adjust for depreciation and provisions to find final net profit. **[1 Mark]**

4. Ram keeps incomplete records. His capital on 1st April 2023 was Rs 80,000. On 31st March 2024, his assets were Rs 1,60,000 and liabilities were Rs 40,000. During the year, he withdrew Rs 20,000 for personal use and introduced Rs 10,000 as fresh capital. Compute his profit or loss for the year. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Closing Capital:** Assets Rs 1,60,000 - Liabilities Rs 40,000 = Rs 1,20,000. **[1 Mark]**

• **Adjusted Closing Capital:** Closing Capital Rs 1,20,000 + Drawings Rs 20,000 = Rs 1,40,000. Less Fresh Capital Rs 10,000 = Rs 1,30,000. **[1 Mark]**

• **Net Profit:** Adjusted Capital Rs 1,30,000 - Opening Capital Rs 80,000 = Net Profit of Rs 50,000. **[1 Mark]**

5. Explain how Credit Sales can be ascertained from incomplete records by preparing a Memorandum Total Debtors Account. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Debtors Account Debit:** Opening Debtors balance $\frac{b}{d}$ is entered on the debit side. **[1 Mark]**

• **Debtors Account Credits:** Cash received from debtors, discounts allowed, sales returns, bad debts, and closing balance $\frac{c}{d}$ of debtors are credited. **[1 Mark]**

• **Balancing Figure:** The excess of total credits over the opening debit balance represents Credit Sales during the period. **[1 Mark]**

6. Find out Credit Purchases from the following details: Opening Creditors Rs 20,000; Closing Creditors Rs 25,000; Cash paid to Creditors Rs 85,000; Discount received from suppliers Rs 3,000; Returns Outward Rs 2,000. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Debits in Total Creditors Account:** Cash paid Rs 85,000 + Discount Received Rs 3,000 + Returns Outward Rs 2,000 + Closing Creditors Rs 25,000 = Total Debits Rs 1,15,000. **[1.5 Marks]**

• **Credit Purchases Calculation:** Total Debits Rs 1,15,000 - Opening Creditors Rs 20,000 = Credit Purchases Rs 95,000. **[1.5 Marks]**

7. Sita started business on 1st April 2023 with a capital of Rs 50,000. On 31st March 2024, her position was: Cash in hand Rs 4,000, Bank Rs 16,000, Debtors Rs 30,000, Stock Rs 25,000, Furniture Rs 15,000, and Creditors Rs 20,000. Sita withdrew Rs 1,000 per month for personal expenses and introduced additional capital of Rs 8,000. Provide depreciation at 10 percent on furniture. Ascertain her net profit. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Closing Capital Calculation:** Total Assets = Cash Rs 4,000 + Bank Rs 16,000 + Debtors Rs 30,000 + Stock Rs 25,000 + Furniture Rs 15,000 = Rs 90,000. Less Creditors Rs 20,000 = Closing Capital Rs 70,000. **[1.5 Marks]**

• **Adjusted Capital:** Closing Capital Rs 70,000 + Annual Drawings (Rs 1,000 * 12 = Rs 12,000) = Rs 82,000. Less Additional Capital Rs 8,000 = Rs 74,000. **[1 Mark]**

• **Profit Before Adjustments:** Rs 74,000 - Opening Capital Rs 50,000 = Rs 24,000. **[0.5 Mark]**

• **Final Net Profit:** Profit Rs 24,000 - Depreciation on Furniture (10 percent of Rs 15,000 = Rs 1,500) = Final Net Profit Rs 22,500. **[1 Mark]**